Hamilton School for
Classical and Civic Education
UNIVERSITY of FLORIDA

The Median Voter and Democratic Failures

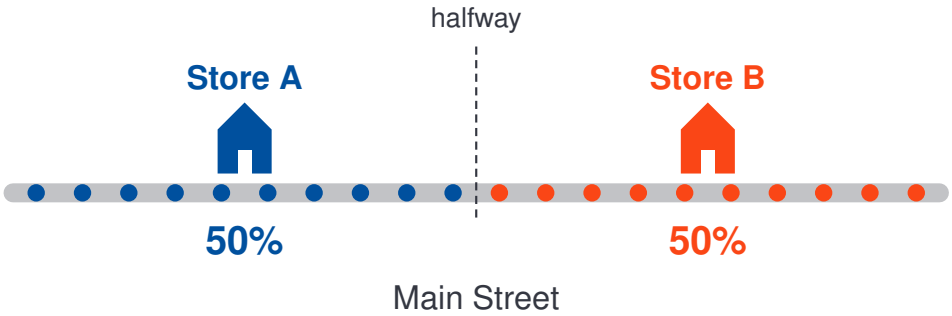
Interest Groups and Rent Seeking
ISS 2440 — Intro to PPEL

Louis Rouanet

Fall 2026


Wendy's
SUBWAY
QUALITY
IS OUR RECIPE
ups
ups

Hotelling's Main Street



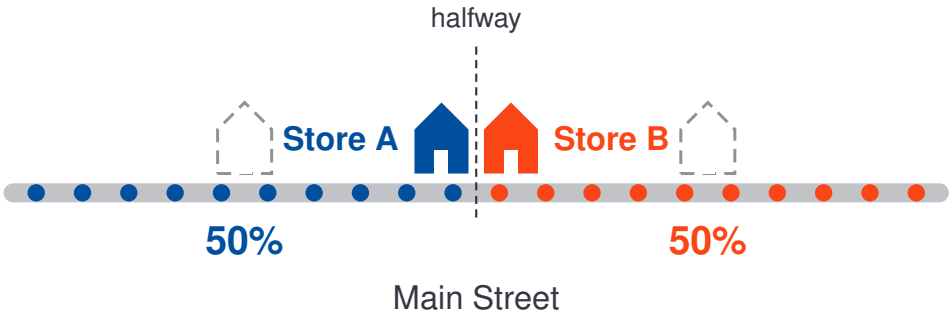
Prices are the same at both stores, so each customer walks to the nearer one.

Hotelling's Main Street



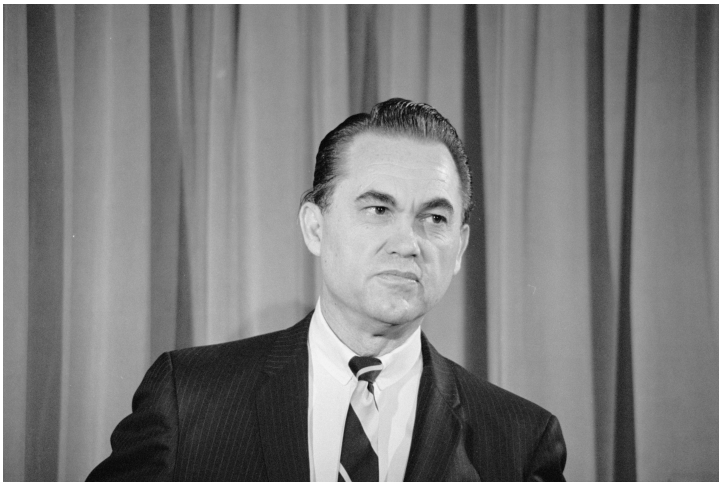
Prices are the same at both stores, so each customer walks to the nearer one.

Hotelling's Main Street



Prices are the same at both stores, so each customer walks to the nearer one.

Why do both parties sound alike?



George Wallace, 1968: “not a dime’s worth of difference”

Lunch by majority vote

Three friends pick lunch by majority vote, two options at a time. Their favorite lunches cost $5, $10 and $20, and each votes for the price closer to their own favorite.

Vote	$5 friend	$10 friend	$20 friend	Winner
$5 vs. $10	$5	$10	$10	$10, 2 to 1
$10 vs. $20	$10	$10	$20	$10, 2 to 1
$5 vs. $20	$5	$5	$20	$5, 2 to 1

Lunch by majority vote

Three friends pick lunch by majority vote, two options at a time. Their favorite lunches cost $5, $10 and $20, and each votes for the price closer to their own favorite.

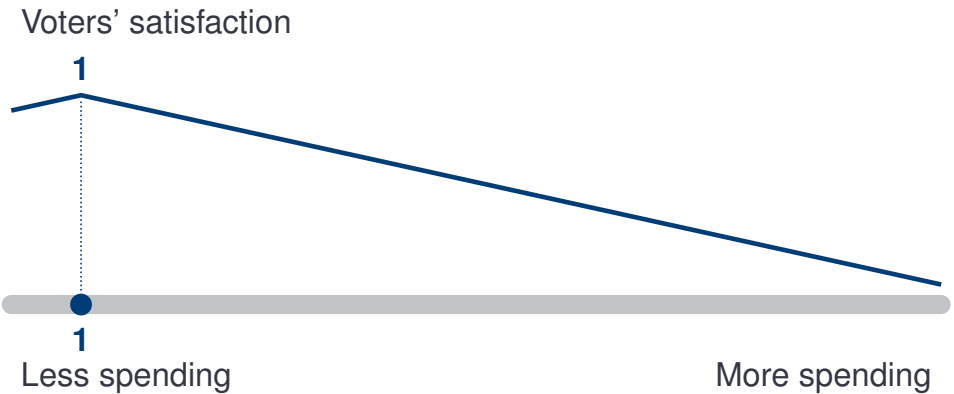
Vote	$5 friend	$10 friend	$20 friend	Winner
$5 vs. $10	$5	$10	$10	$10, 2 to 1
$10 vs. $20	$10	$10	$20	$10, 2 to 1
$5 vs. $20	$5	$5	$20	$5, 2 to 1

$\Rightarrow$ $10 beats both others, and the $10 friend is on the winning side of every vote.

$\Rightarrow$ A politician offering a $10 lunch never loses.

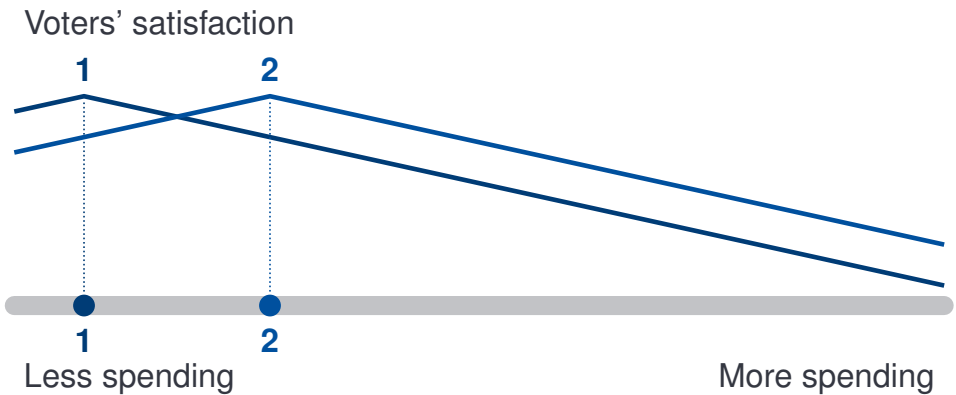
Single-peaked preferences

Single-peaked preferences: each voter has one favorite spot on a line and likes options less the farther they sit from it, on either side $\Rightarrow$ one peak.



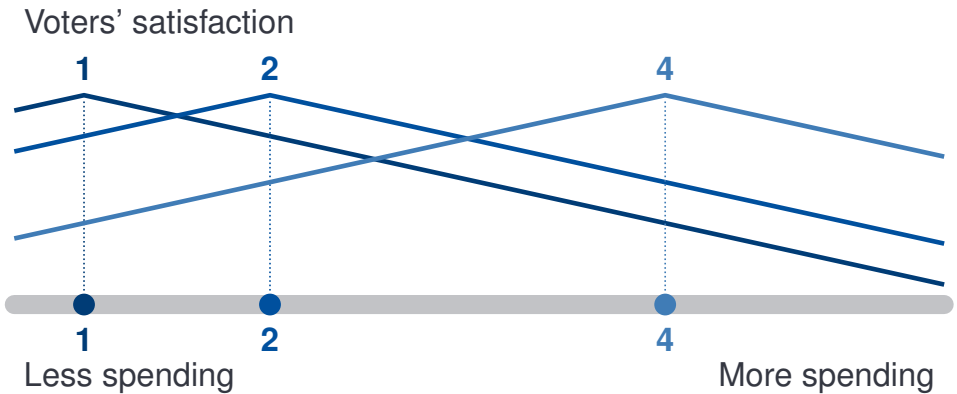
Single-peaked preferences

Single-peaked preferences: each voter has one favorite spot on a line and likes options less the farther they sit from it, on either side ⇒ one peak.



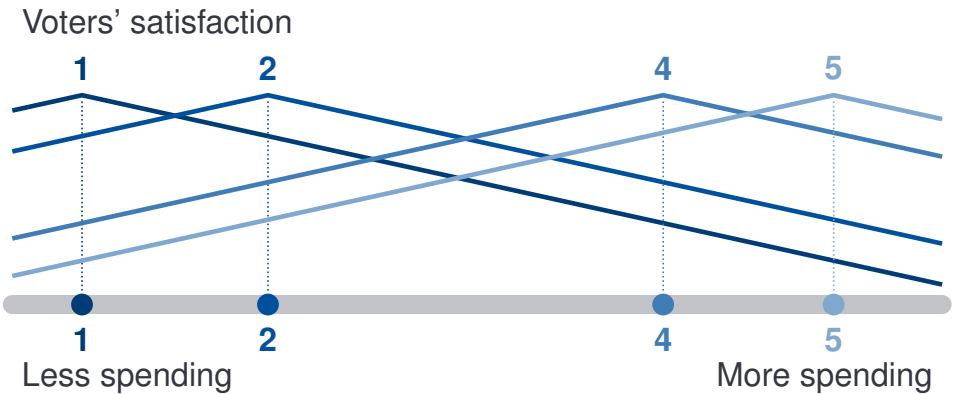
Single-peaked preferences

Single-peaked preferences: each voter has one favorite spot on a line and likes options less the farther they sit from it, on either side $\Rightarrow$ one peak.



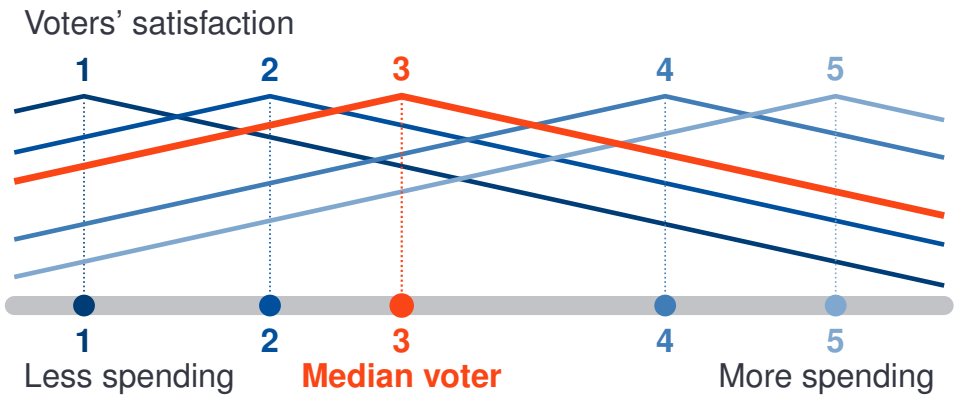
Single-peaked preferences

Single-peaked preferences: each voter has one favorite spot on a line and likes options less the farther they sit from it, on either side $\Rightarrow$ one peak.



Single-peaked preferences

Single-peaked preferences: each voter has one favorite spot on a line and likes options less the farther they sit from it, on either side ⇒ one peak.



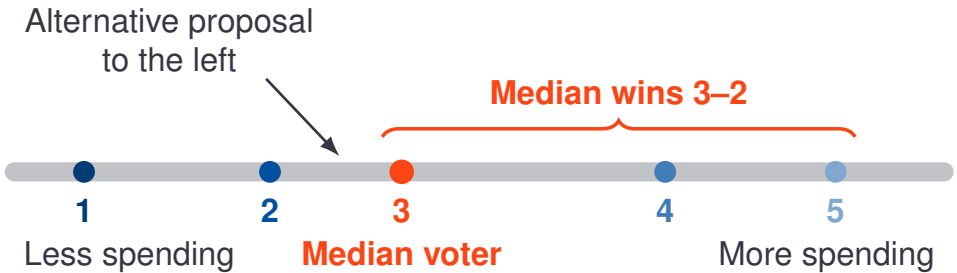
The median voter

Median voter: the voter in the middle, with as many voters to her left as to her right.



The median voter

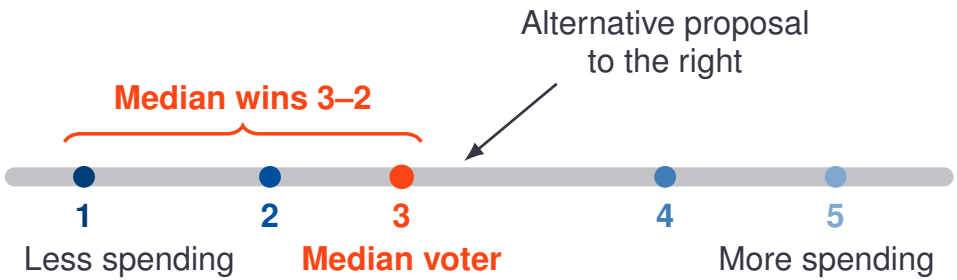
Median voter: the voter in the middle, with as many voters to her left as to her right.



- Against a proposal to the left, voters 3, 4 and 5 choose the median voter's favorite: 3 votes to 2.

The median voter

Median voter: the voter in the middle, with as many voters to her left as to her right.



- Against a proposal to the right, voters 1, 2 and 3 choose the median voter's favorite: 3 votes to 2.

The median voter theorem

Black (1948) and Downs (1957): two candidates chasing votes on one issue both move toward the median voter's favorite.

It takes four conditions:

- One issue: the options sit on one line.
- Single-peaked preferences: one peak each.
- Two candidates.
- Everyone votes.

No real choice?

- Convergence: two parties fighting for the same middle voter end up sounding alike. That is competition at work.
- A party with no rival to fear could stay at its own favorite position.
- Sounding alike is a sign that each side fears losing the median voter.

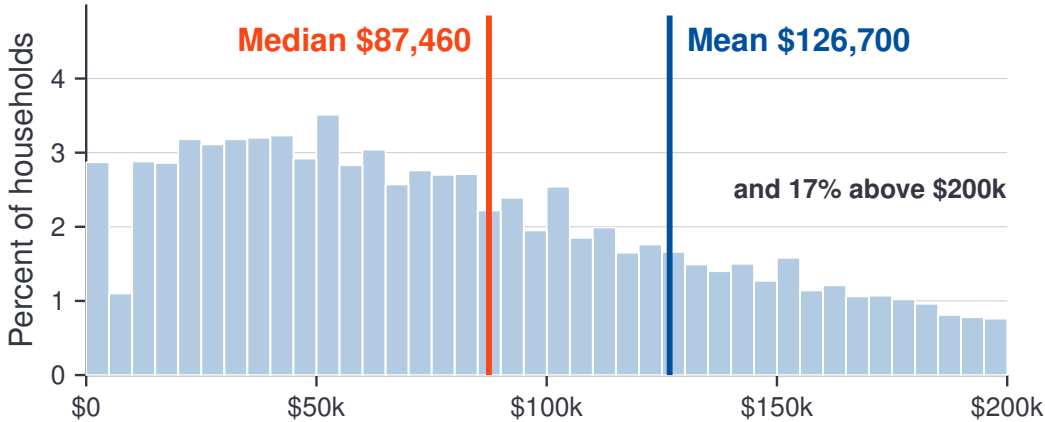
Condorcet's cycle vs. the median voter

	1st	2nd	3rd
Voter 1	A	B	C
Voter 2	B	C	A
Voter 3	C	A	B

- Week 8's voters: put A, B, C on any line, and one voter ranks the middle option last $\Rightarrow$ two peaks.
- If every voter's preferences are single-peaked on one line, the median voter's favorite beats every other option: no cycle (Black 1948).
- Arrow: every rule that meets his conditions breaks down for some rankings. Majority voting cycles for some rankings, not for all.

Application:

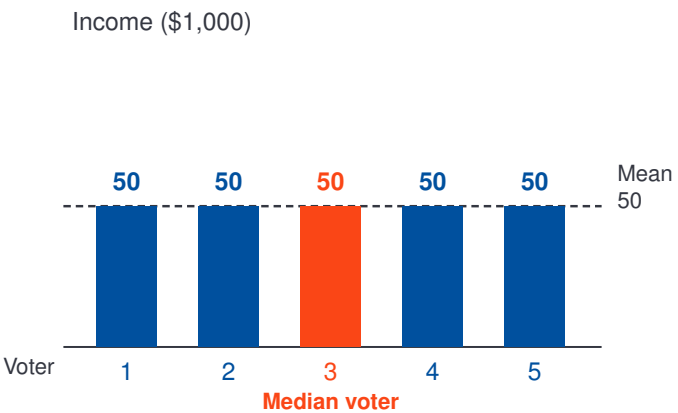
The median voter and the welfare state



Note: share of US households in each $5,000 band of pre-tax cash income, 2025. US Census Bureau, CPS ASEC 2026, table HINC-06, and *Income in the United States: 2025*.

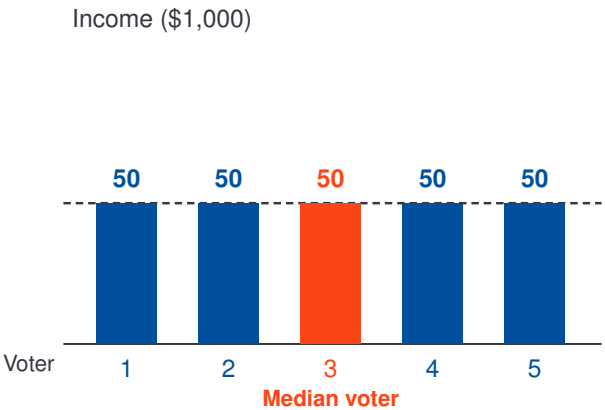
Meltzer–Richard: an equal society

A 50% income tax funds equal checks. Hold incomes fixed for now.



Meltzer–Richard: an equal society

A 50% income tax funds equal checks. Hold incomes fixed for now.



Median voter

Income: $50,000

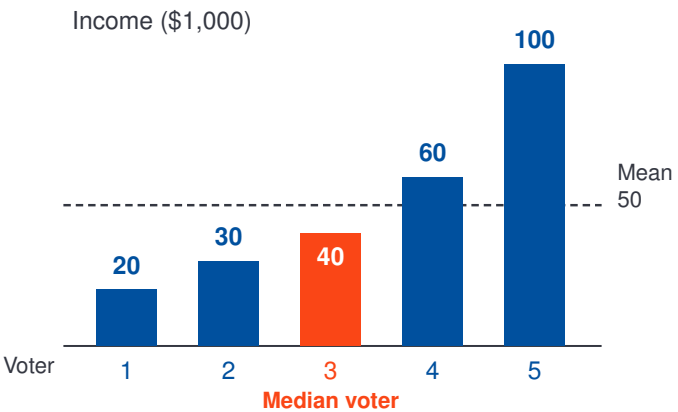
Tax paid $25,000

Equal check $25,000

$0 net gain

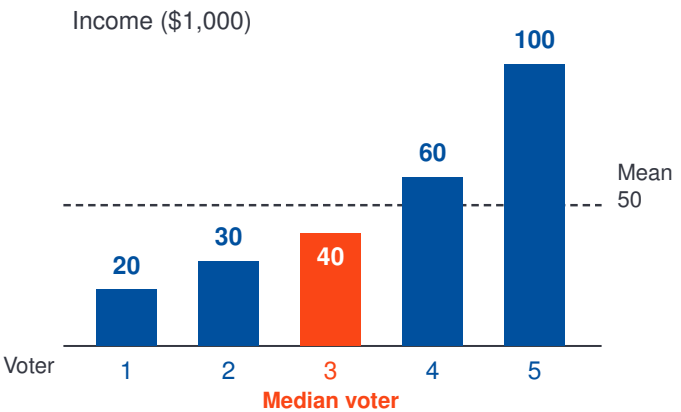
Meltzer–Richard: an unequal society

A 50% income tax funds equal checks. Hold incomes fixed for now.



Meltzer–Richard: an unequal society

A 50% income tax funds equal checks. Hold incomes fixed for now.



Median voter
Income: $40,000

Tax paid
$20,000

Equal check
$25,000

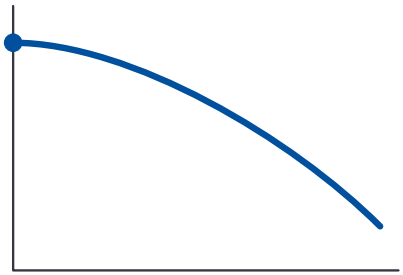
$5,000 net gain

Meltzer–Richard: incentives to work

Higher taxes make people work less, so total income falls.

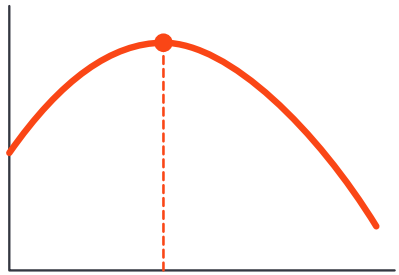
Median voter's income after tax and check

Equal incomes



Preferred tax: zero

Unequal incomes



Preferred tax: positive

Widening the vote

- U.S. states, 1950–88: where poll taxes and literacy tests ended, poorer voters came to the polls, and welfare spending rose sharply; other spending did not.

$\Rightarrow$ Who votes moves the median voter, and the median voter moves the budget.

Source: Husted, Thomas A. and Lawrence W. Kenny (1997). "The Effect of the Expansion of the Voting Franchise on the Size of Government," *Journal of Political Economy* 105(1), 54–82.

Should the town build the bridge?



The bridge vote

Ten residents vote on a footbridge that costs $600. If it is built, each pays the same $60.

	Residents	Value each	Pays each	Votes
Low value	6	$50	$60	No
High value	4	$100	$60	Yes

The bridge vote

Ten residents vote on a footbridge that costs $600. If it is built, each pays the same $60.

	Residents	Value each	Pays each	Votes
Low value	6	$50	$60	No
High value	4	$100	$60	Yes

$\Rightarrow$ Rejected 6 to 4. Yet total benefit \$700 $>$ total cost \$600.

The median vs. the mean

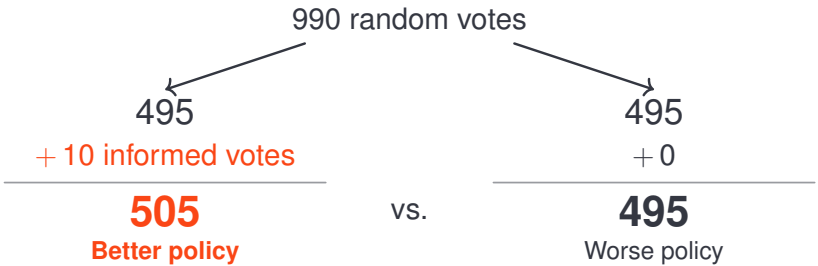
- Majority rule counts heads, not intensity: how much each person cares.
- For a yes-or-no project with equal cost shares, the vote goes wrong when the median value and the mean value fall on opposite sides of the cost per person.
- The same arithmetic can pass a project worth less than it costs.

Application:

Are voters rationally irrational?

The miracle of aggregation

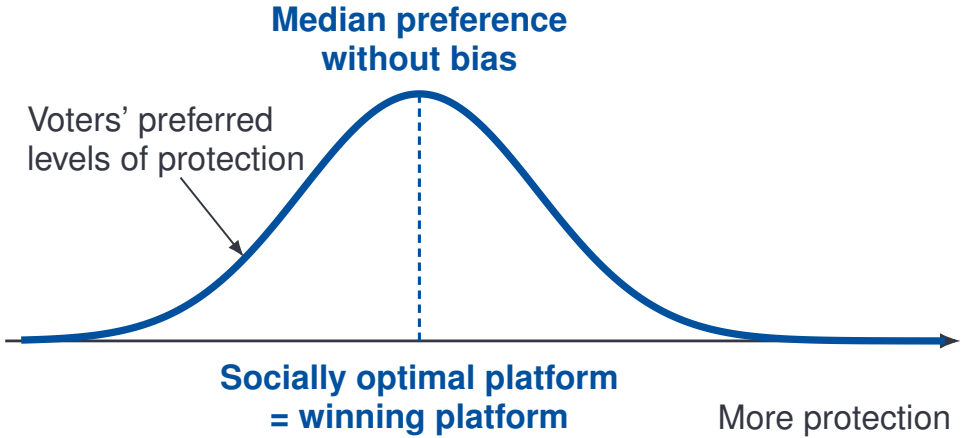
When uninformed votes split evenly, the informed voters tip the result.



Caplan, *The Myth of the Rational Voter*, 2007

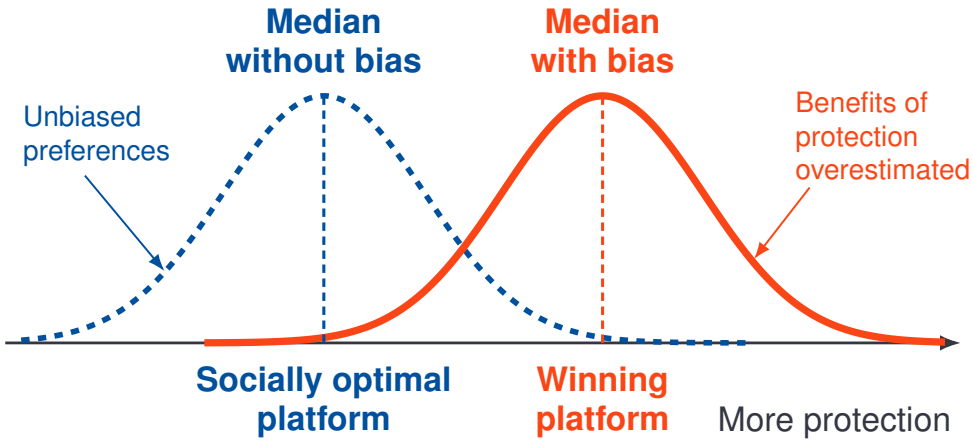
"It reads like an alchemist's recipe: mix 99 parts folly with 1 part wisdom to get a compound as good as unadulterated wisdom."

Voter preferences without bias



Protection means tariffs and import quotas. Schematic redraw of Caplan (2007), Figure 1, p. 5.

Voter preferences with systematic bias

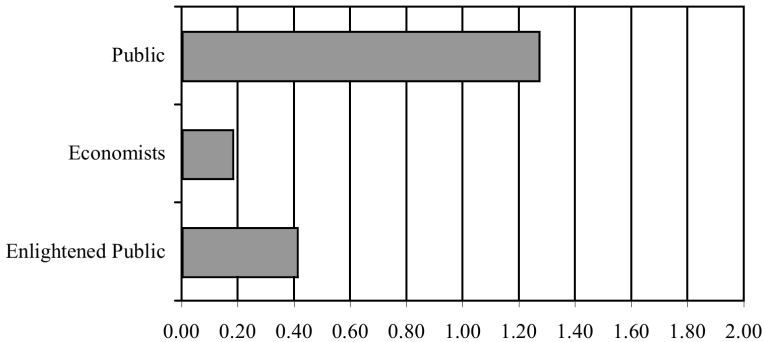


Overestimating protection's benefits shifts voters' preferred policies. Schematic redraw of Caplan (2007), Figure 2, p. 5.

Systematic errors

“Business profits are too high.” A reason the economy is not doing better?

"Business profits are too high." A reason the economy is not doing better?



Enlightened public: an average American's answers, if he also had an economics PhD.

1996 survey of 1,510 Americans and 250 economists. Caplan (2007), Figure 3, p. 9.

Systematic errors

- Anti-market bias: we underrate what markets and profits do for us.
- Anti-foreign bias: we underrate what dealing with foreigners does for us.
- Make-work bias: we count jobs, not output; saving labor looks like a danger.
- Pessimistic bias: we think the economy is bad and getting worse.

Source: Caplan, Bryan. (2007). "The Myth of the Rational Voter: Why Democracies Choose Bad Policies," *Cato Institute Policy Analysis* 594, pp. 6–18.

Rational irrationality

- Rational irrationality: your vote almost never decides, so a wrong political belief costs you nothing $\Rightarrow$ you keep the one that feels best.
- Price of a wrong belief: believe you can fly, you pay at once; believe tariffs make us rich, the booth charges nothing.

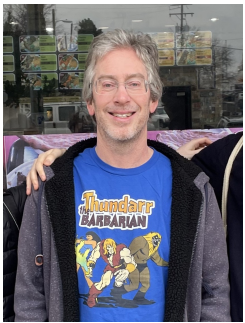
Rational irrationality

- Rational irrationality: your vote almost never decides, so a wrong political belief costs you nothing $\Rightarrow$ you keep the one that feels best.
- Price of a wrong belief: believe you can fly, you pay at once; believe tariffs make us rich, the booth charges nothing.
- Week 8's noble vs. irresponsible voter: both. Voters aim at the country's good but seldom check their beliefs $\Rightarrow$ cheap to be noble, cheap to be wrong.

What the median voter asks for

Caplan, *The Myth of the Rational Voter*, 2007

"The median voter would be better off if he received less protection than he asked for. But competition impels politicians to heed what voters ask for, not what is best for them."



Bryan Caplan
(b. 1971)

Voters vs. dictators

Tullock, "Reflections on Caplan's *The Myth of the Rational Voter*," 2008

"We would predict from these data that democracies would follow outstandingly foolish economic policies. I would not say that the economic policies in democracies are brilliant, but they don't seem to be suicidal so the prediction is oversimplified. Alternative forms of government are not obviously better. Caplan makes no effort to judge the economic knowledge of dictators. [...] I suspect that the average dictator would do as badly as the average voter if given an economic test."



Gordon Tullock
(1922–2014)

The Politics of Special Interest

Why does the same drink use different sugar?





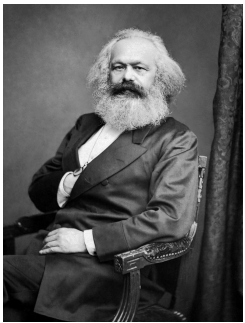
Interest groups and rational ignorance

- Week 8: rational ignorance. One vote almost never decides, so most voters never learn what most policies do.
- Interest group: people who share a stake in a policy and organize to press for it $\Rightarrow$ policy can leave the median voter.

Marx and the class struggle

Marx and Engels, *Manifesto of the Communist Party*, 1848

"The history of all hitherto existing society is the history of class struggles. Freeman and slave, patrician and plebeian, lord and serf, guild-master and journeyman, in a word, oppressor and oppressed, stood in constant opposition to one another [. . .]."

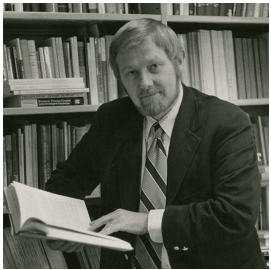


Karl Marx
(1818–1883)

Small groups vs. large groups

Olson, *The Logic of Collective Action*, 1965

"[U]nless the number of individuals in a group is quite small, or unless there is coercion or some other special device to make individuals act in their common interest, rational, self-interested individuals will not act to achieve their common or group interests."



Mancur Olson
(1932–1998)

Marx vs. Olson on collective action

Collective action: people acting together for a goal they share, such as a strike or a lobby.

Free rider: someone who gets the gain without paying the cost,
like a worker who skips the strike but gets the raise.

	Marx and Engels	Olson
Who acts	Classes: bourgeoisie vs. proletariat	Individuals, each deciding whether to join
Why a group acts	Members share a class interest	If collective action costs are less than benefits received
Who wins	The immense majority, in the end	Small, organized groups

Do capitalists have a common interest?





Concentrated benefits, dispersed costs

Concentrated benefits, dispersed costs: a policy gives a lot to each of a few people and takes a little from each of many.

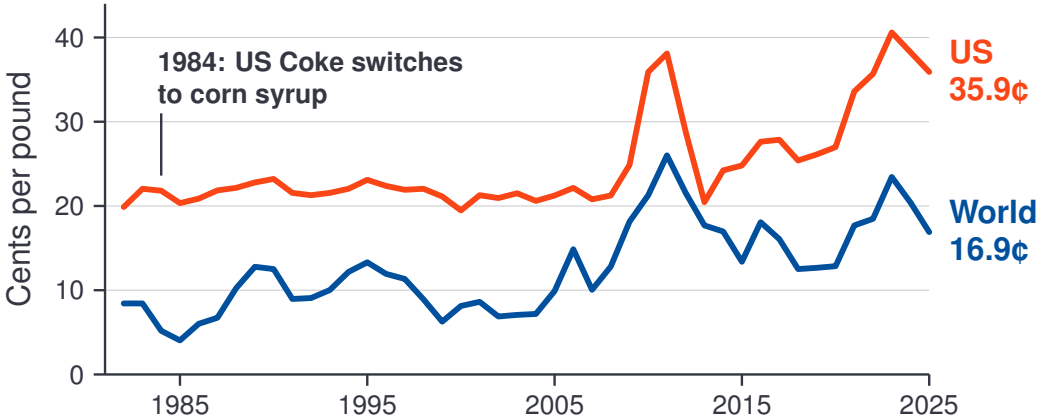
- The US sugar program: sugar producers gain $1.4 to $2.7 billion a year, about $100,000 to $190,000 per sugar farm.
- Consumers lose about $3 to $10 per person a year.

Concentrated benefits, dispersed costs

Concentrated benefits, dispersed costs: a policy gives a lot to each of a few people and takes a little from each of many.

- The US sugar program: sugar producers gain $1.4 to $2.7 billion a year, about $100,000 to $190,000 per sugar farm.
- Consumers lose about $3 to $10 per person a year.

$\Rightarrow$ Who writes to Congress: the farmer or the shopper?

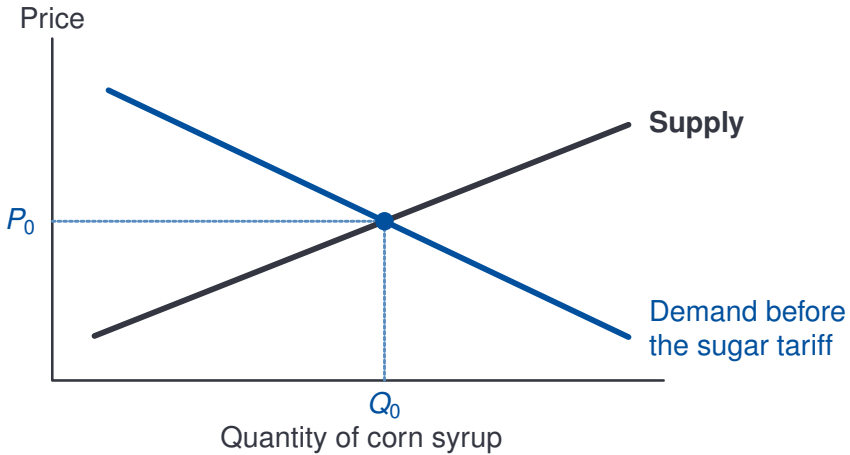


Note: raw sugar, annual averages of monthly prices, not adjusted for inflation; US market vs. world market. World Bank, Commodity Price Data (Pink Sheet), 2026.

Coke and the sugar program

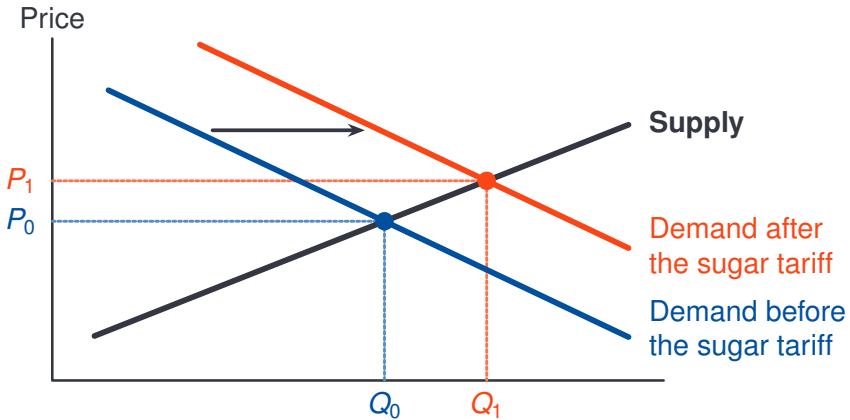
- Import quotas and tariffs limit foreign sugar. In 2022, Americans paid about twice the world price for sugar.
- 1984: Coca-Cola switches US bottles and cans to 100% high-fructose corn syrup.

Sugar tariffs and the corn-syrup market



Sugar and corn syrup are substitutes. Corn-syrup supply held fixed.

Sugar tariffs and the corn-syrup market



Sugar and corn syrup are substitutes. Corn-syrup supply held fixed.

Tariffs and concentrated benefits

- 2018 washing-machine tariffs: consumers paid about $1.5 billion a year, about $815,000 for each of the 1,800 jobs reported.
- 2009 tire tariffs: consumers paid about $1.1 billion a year, at least $900,000 per job saved (at most 1,200).

$\Rightarrow$ The jobs are concentrated and visible; the higher prices are dispersed over every buyer.

Selective incentives

Selective incentive: a private benefit that only members get, or a penalty only non-members pay.

- Unions: jobs reserved for members (the closed shop).
- American Medical Association: malpractice defense and its *Journal*.
- Farm Bureau: insurance and cooperatives.

$\Rightarrow$ The lobby is a by-product of what members join for.

Stigler and regulatory capture

Stigler, "The Theory of Economic Regulation," 1971

"[A]s a rule, regulation is acquired by the industry and is designed and operated primarily for its benefit."



George J. Stigler
(1911–1991)

Regulatory capture and occupational licensing

Regulatory capture: a regulation meant to police an industry ends up serving that industry.

Occupational license: a government permit you must hold to work in a trade.

- Workers in occupations licensed by the states: under 5% in the early 1950s, about 25% by 2008.
- A survey of workers, 2024: 21.6% held a government license, about 35 million people.
- Cosmetologists must train nearly 10 times as long as EMTs: 342 days vs. 36.

Interest groups and the rise and decline of nations

- Stable societies pile up interest groups over time:
  each one is hard to start but rarely dies.
- They fight over the size of their slice, not the size of the pie $\Rightarrow$ slower growth.
- Dictatorship and then Allied occupation broke them up in West Germany and Japan:
  both grew fast after the war.

Source: Olson, Mancur. (1982). *The Rise and Decline of Nations: Economic Growth, Stagflation, and Social Rigidities*. New Haven: Yale University Press, pp. 41, 47, 65, 75–78.

Rent Seeking

Why pay $1 million for a tin plate?



Bastiat and legal plunder

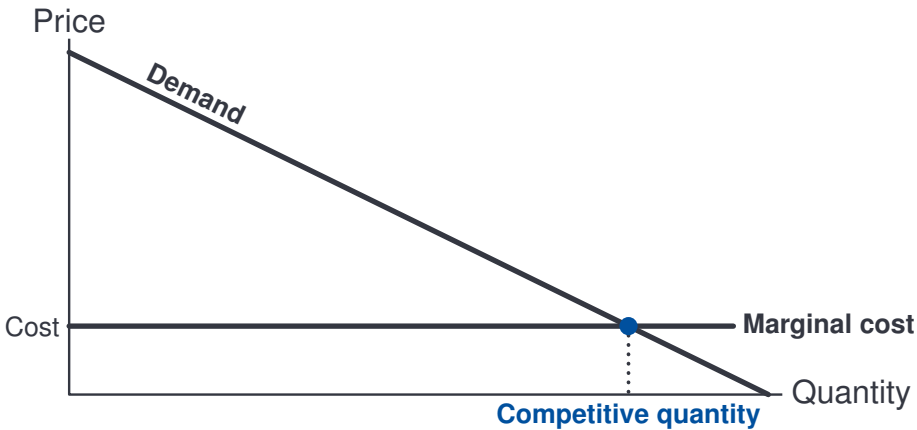
Bastiat, *The Law*, 1850

"See whether the law takes from some persons that which belongs to them, to give to others what does not belong to them."

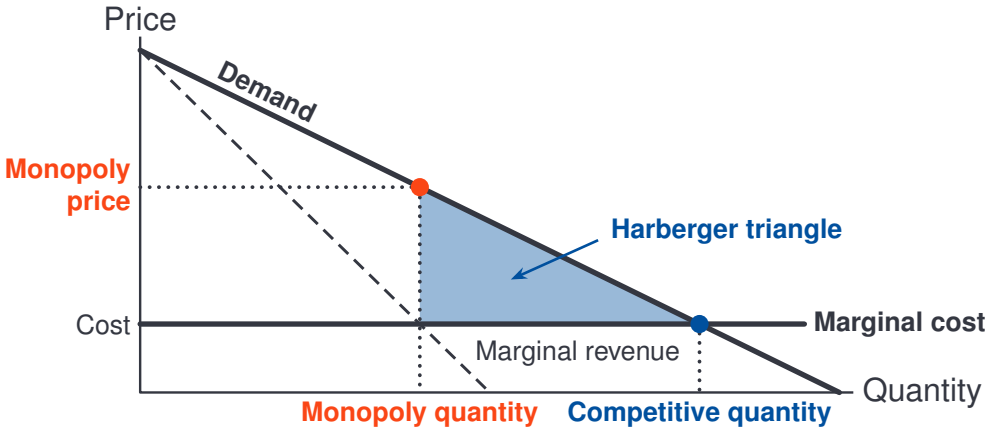


Frédéric Bastiat
(1801–1850)

Monopoly vs. competition

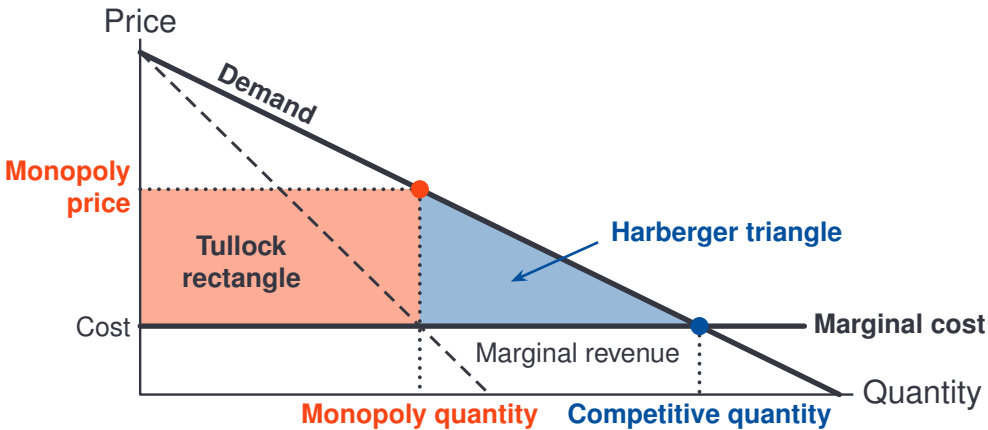


The Harberger triangle



Constant costs: marginal cost = average cost.

The Tullock rectangle



Tullock and the cost of transfers

Tullock, "The Welfare Costs of Tariffs, Monopolies, and Theft," 1967

"The problem with income transfers is not that they directly inflict welfare losses, but that they lead people to employ resources in attempting to obtain or prevent such transfers."



Gordon Tullock
(1922–2014)

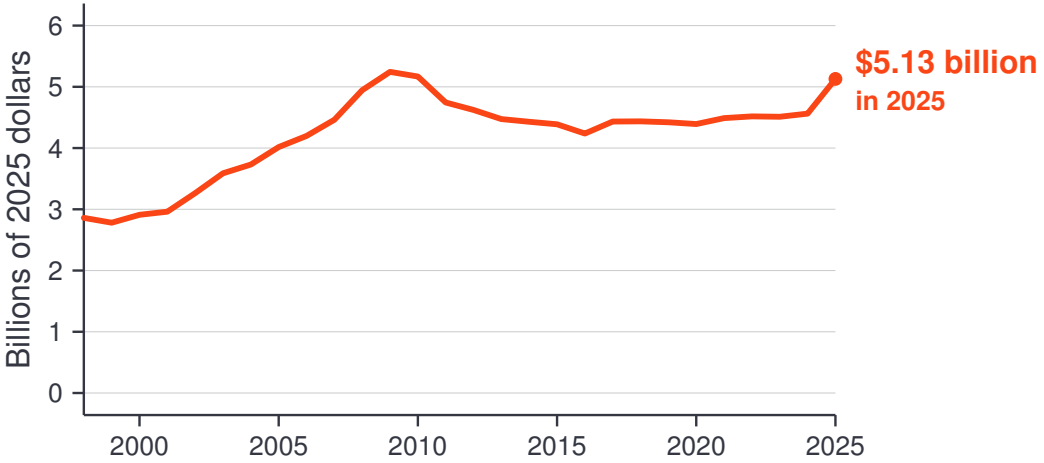
Rent seeking vs. profit seeking

Rent: income above what the same land, labor or capital would earn in its next best use, like a sugar grower's gain from the import quota.

- Profit seeking creates something buyers pay for: a better product, a lower price.
- Rent seeking spends resources to win a transfer through the state: a license, a tariff, a subsidy.
- Rents created by the state: 7.3% of national income in India (1964); from import licenses alone, about 15% of GNP in Turkey (1968).

The taxi medallion

- 1937: the Haas Act capped New York's taxi licenses. Today: 13,587 medallions.
- The cap created a rent, and buyers paid for it up front: a medallion cost about $1 million at the 2013–14 peak.
- Then app-based rides took taxi trips, and prices fell: under $200,000 by 2018, some sales at $50,000 in 2021.
- Tullock's transitional gains trap: the first owners got the gain; the last buyers paid for it.



Note: total reported spending on federal lobbying each year, adjusted for inflation with the consumer price index (CPI).
OpenSecrets, from Senate lobbying disclosure reports, 2026.

The Tullock paradox

If the rectangle is a prize, why is so little spent?

The sugar industry reported $17 million of federal lobbying in 2025 to defend a gain to sugar producers of $1.4 to $2.7 billion a year.

The Tullock paradox

If the rectangle is a prize, why is so little spent?

The sugar industry reported $17 million of federal lobbying in 2025 to defend a gain to sugar producers of $1.4 to $2.7 billion a year.

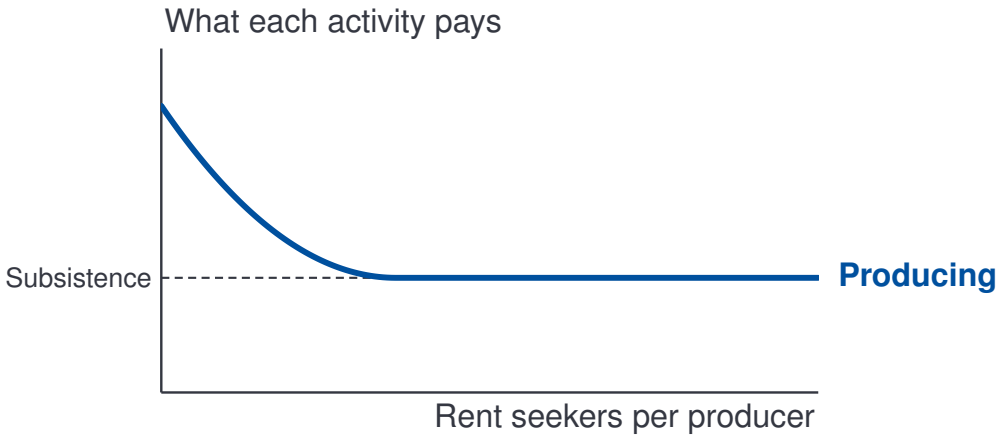
- Free riding: each grower gets only a small share of what lobbying wins, so each leaves the lobbying to others.
- Few rivals, little spending: two bidders spend half the prize, not all of it.
- Little leverage: politicians raise most of their money from individuals, so a group's dollar buys little.

The allocation of talent

- The ablest people go where talent pays most: starting firms, or rent seeking (government, the army, law, lobbying).
- Entrepreneurs invent and the economy grows; rent seekers only move wealth from others $\Rightarrow$ talent spent on rent seeking slows growth.
- 91 countries, 1970–85: where a larger share of college students studied engineering, growth was faster; where a larger share studied law, slower.

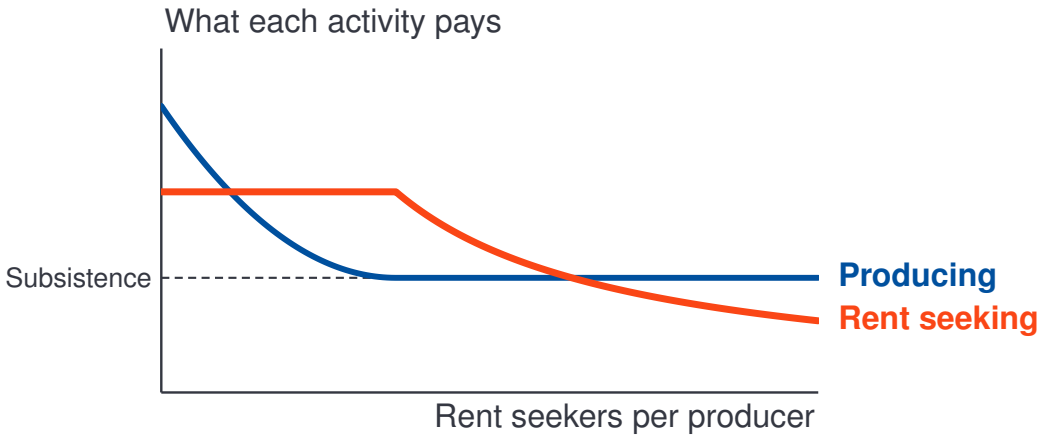
Source: Murphy, Kevin M., Andrei Shleifer and Robert W. Vishny (1991). "The Allocation of Talent: Implications for Growth," *Quarterly Journal of Economics* 106(2), 503–530.

Rent seeking and multiple equilibria



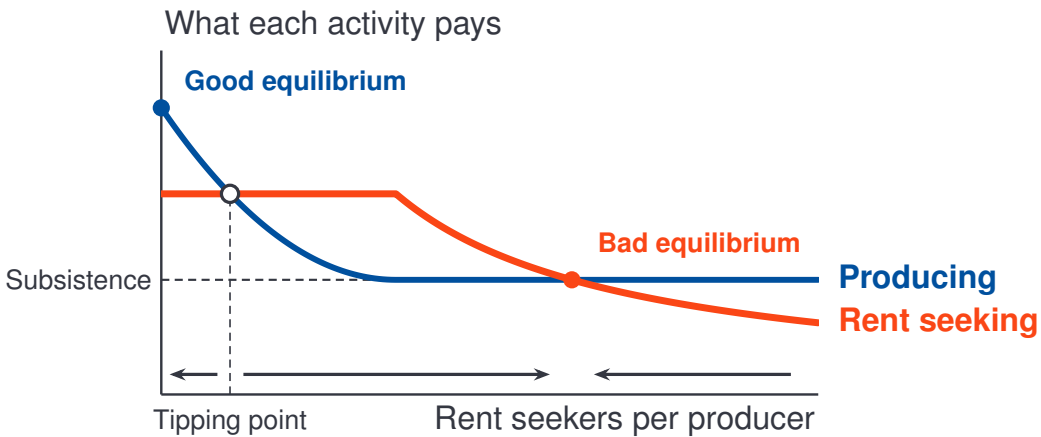
After Tabarrok (MRU) and Murphy, Shleifer and Vishny (1993).

Rent seeking and multiple equilibria



After Tabarrok (MRU) and Murphy, Shleifer and Vishny (1993).

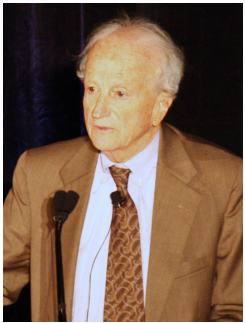
Rent seeking and multiple equilibria



After Tabarrok (MRU) and Murphy, Shleifer and Vishny (1993).

Can interest groups produce efficient policy?

- Taxes and subsidies waste something on the way: the taxed lose more than the favored group gains.

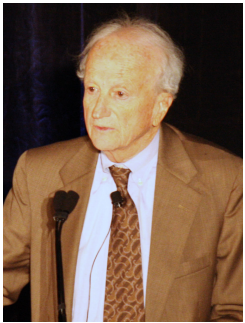


Gary S. Becker
(1930–2014)

Source: Becker, Gary S. (1983). “A Theory of Competition among Pressure Groups for Political Influence,” *Quarterly Journal of Economics* 98(3), 371–400, pp. 373, 384.

Can interest groups produce efficient policy?

- Taxes and subsidies waste something on the way: the taxed lose more than the favored group gains.
- The bigger the waste, the harder the taxed fight back, and the less the favored gain from pushing.



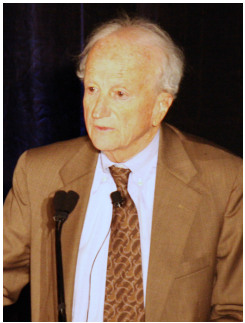
Gary S. Becker
(1930–2014)

Source: Becker, Gary S. (1983). “A Theory of Competition among Pressure Groups for Political Influence,” *Quarterly Journal of Economics* 98(3), 371–400, pp. 373, 384.

Can interest groups produce efficient policy?

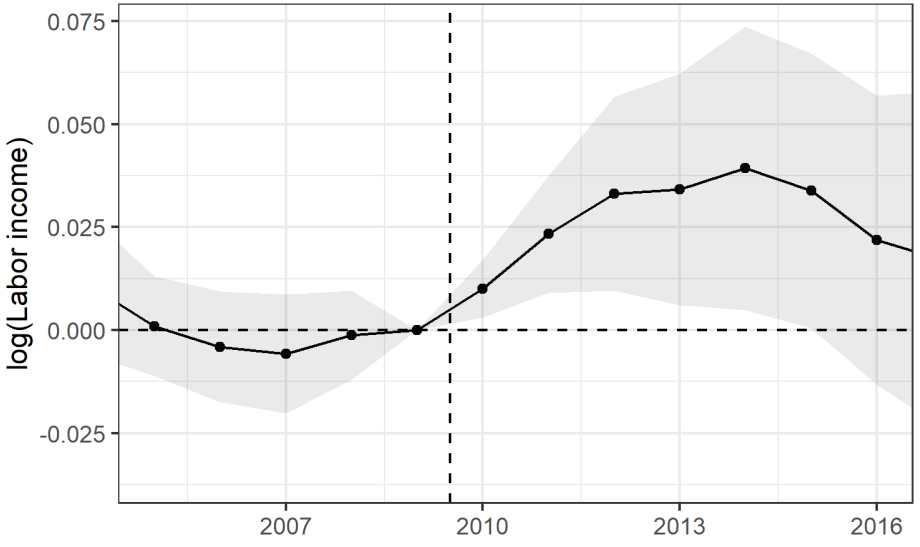
- Taxes and subsidies waste something on the way: the taxed lose more than the favored group gains.
- The bigger the waste, the harder the taxed fight back, and the less the favored gain from pushing.

⇒ Becker's corollary: wasteful transfers are harder to win; policies that grow the pie win more often.



Gary S. Becker
(1930–2014)

Source: Becker, Gary S. (1983). "A Theory of Competition among Pressure Groups for Political Influence," *Quarterly Journal of Economics* 98(3), 371–400, pp. 373, 384.



Note: gap in workers' pay between the 23 states whose bans on independent election spending by companies and unions fell in 2010 and the other states, relative to 2009 (0.025 ≈ 2.5%); grey: margin of error. Akey et al. (2023), NBER Working Paper 31481, Fig. 2e.

What Becker's corollary leaves out

- Becker's corollary is about which policy wins, not about what the fight to win it costs.
- The fight burns real resources: lobbyists, lawyers, ads. Much of each side's spending only cancels the other's.

$\Rightarrow$ Even when the efficient policy wins, the prize can be spent on the contest: Tullock's rectangle.

On democratic failures

- Convergence
- Concentrated benefits, dispersed costs
- Rent seeking